ProjectManager

Project Management 101 eBook: Definitions, Methods and Tools

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An introduction to project management

Projects are a series of activities with a defined start and end aimed at achieving specific objectives. Project management is a crucial discipline across industries to help organizations complete initiatives. It involves combining skills, tools and techniques to plan, execute and control projects so they're finished on time and on budget.

Noteworthy stats:

- 92% of organizations using project management practices meet objectives
- Organizations that invest in project management practices waste 28x less money
- By 2030, there will be a need for ~2.3 million project managers annually

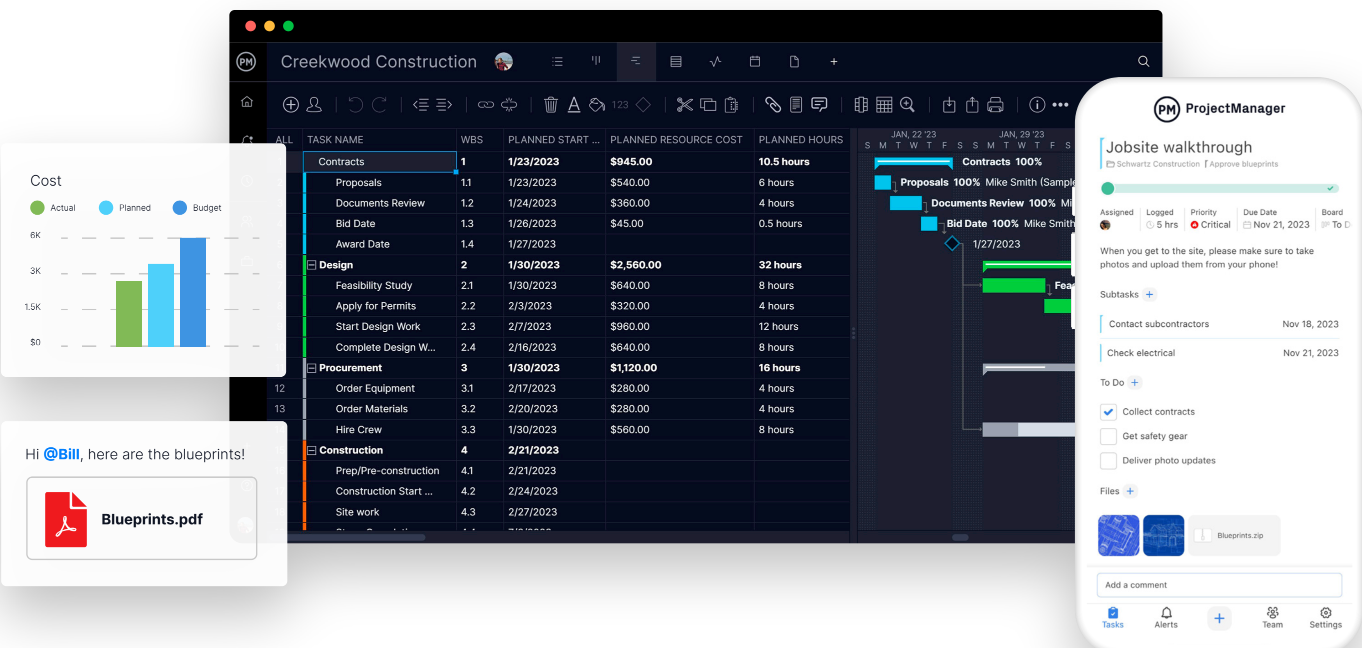
Leverage the information you learn in this eBook to meet project expectations, boost stakeholder satisfaction and deliver more value to your company.

The power of project management software

To thrive in the project management community, you need the right tools. Project management software is one of the most critical components of planning, scheduling and executing projects from start to finish. Seventy-three percent of organizations that use a formal approach to project management always or often have met their goals or intentions.

Outdated tools like static documents, spreadsheets and email communication are no longer cutting it. Today's businesses need award-winning software instead.

ProjectManager helps plan projects, build workflows and manage resources with powerful features your whole team can use. Use the award-winning Gantt chart to build detailed plans, set milestones and assign work to your team in real time. Or use built-in resource management features like timesheets and workload charts to balance schedules and control costs. Live dashboards and reports are quintessential tools to keep stakeholders informed of progress while the mobile app keeps you connected from the office or the field for live updates. Our suite of tools will bring agility, accuracy and insights into your projects and portfolios.



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Templates

Templates are one of the easiest ways to kickstart projects and ensure consistency. ProjectManager offers pre-built templates to use in Excel, Word and directly within our software. Explore some of our highly utilized templates below.

Gantt chart

Project plan

Work breakdown structure

Project budget

Project dashboard

Project proposal

The project management life cycle

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Regardless of the industry, all projects go through the project life cycle. It's a structured approach divided into five stages to move the project from start to finish. The life cycle includes initiation, planning, execution, monitoring and closure. While the project manager is typically responsible for managing the life cycle, the project management office (PMO) may be involved when there are multiple projects.

01

Initiation phase

The initiation phase is when the idea of the project is first explored and decisions are made to determine whether or not to proceed. This phase defines the "why" and "what" of the project.

Whoever has the idea, whether it be the VP of marketing, CFO, project manager or another role, is considered the project sponsor. It's up to this individual to convince others in the organization that the project is worth pursuing.

Some key aspects of this phase include defining the project's goals and objectives and leveraging feasibility studies to determine if it is technically, economically and operationally sound. Then identify stakeholders. Stakeholders may include everyone from internal team members like senior managers or executives to external stakeholders like clients or investors.

All of this information is compiled into a document called the project charter that provides clarity and ensures everyone involved understands the objectives. If the project charter is approved, a team is assembled and a project kickoff meeting takes place. After this, the project manager takes over where the sponsor left off and begins the planning phase.

PM Tip

Explore a glossary of 100+ project management terms in one convenient location.

Learn more →

02

Project planning phase

During the planning phase, the high-level goals and objectives are transformed into a detailed roadmap that outlines execution. Here, the project manager creates the project management plan, a document that details how the initiative will be executed. While there are some guidelines for making project plans, they vary across organizations.

Any plan should cover these key areas:

- **Goals:** Identifies SMART (specific, measurable, attainable, realistic, timely) goals and tasks and deliverables will be geared towards completing them.
- **Scope management:** Includes all tasks that will be executed to complete a project defined in a scope management plan. It explains how tasks will be executed, their outcomes or deliverables and their success criteria, among other details.
- **Stakeholder management:** Identifies, analyzes, plans, manages and tracks interactions with people or groups that may be impacted by the project's outcomes.
- **Resource management:** Maximizes resources to achieve project goals. It includes planning and allocating the people, equipment, materials and other assets.
- **Budget management:** Establishes the budget and tracks and controls a project's financial resources.
- **Schedule management:** Determines what task needs to be done at what point to ensure the project stays on schedule.
- **Change management:** Guides people through changes that could impact their project roles. It helps them adapt if there are changes such as new tasks, deadlines or processes.
- **Risk management:** Identifies and deals with potential problems that could impact projects. It aims to identify issues and minimize the impact if the risk comes to fruition.
- **Quality management:** Ensures the project delivers the right results while being mindful of the required quality standards and customer satisfaction.

The planning phase aims to reduce uncertainty by anticipating potential problems before they occur. It also works to optimize resource utilization. The better a project plan is fleshed out, the higher the chances of completing it on time, on budget and within the expected quality.

03

Execution phase

Here, the project comes to life. In this phase, the team executes tasks to meet deliverables and milestones. Typically, this is the longest and most demanding phase.

Some tasks that make up the execution phase include developing the team and assigning resources using key performance indicators, executing the plan, procurement management and tracking and monitoring progress. If needed, project managers can set status meetings and revise the schedule and plan.

A project execution plan (PEP) explains how the execution phase will be managed. It's similar to a project plan but its scope is much narrower as it only includes what's related to project execution, while plans cover the entire life cycle.

Typically included in a PEP are:

- Organization
- Scope
- Schedule
- Resource plan
- Budget
- Risk management plan
- Communications plan

As the tangible results begin coming to life during this stage, it's easier to determine whether the project will succeed or fail.

04

Monitoring and control

Fourth comes the monitoring and control phase although this often happens simultaneously with the execution phase. This phase ensures performance aligns with what was established in the plan to keep the project on track.

Project managers will closely oversee progress and performance, review status, identify potential problems and implement corrective actions to keep the project on schedule and on budget.

A project manager should oversee these monitoring steps:

- Create and reference the project scope baseline
- Make a schedule baseline to compare actual and planned progress
- Estimate costs and define the budget
- Use a risk log to collect potential risks that could show up
- Keep a change log to track and communicate changes as they occur
- Establish quality control procedures
- Create reports to share with stakeholders

This phase is all about managing risk, communicating with stakeholders, controlling costs and maintaining quality.

05

Closing phase

The life cycle isn't completed until the closure phase is over. While it's essential to complete the deliverables to stakeholders' satisfaction, the project manager also needs to tie up loose ends. This means closing out work with contractors, ensuring everyone has been paid and confirming that all project documents are signed off on and archived properly.

This includes the project closure report or a formal document that summarizes outcomes. It's a performance record, capturing lessons learned and providing a final assessment of whether the project met its objectives. This report should contain the following.

- Goals and objectives
- Key deliverables and if they were completed successfully
- Realized benefits for the stakeholders
- Lessons learned to outline what worked and what didn't
- Financial performance to determine if it stuck to the budget

PM **Tip**

Want to learn even more about the project management life cycle? Watch this video by Jennifer Bridges, PMP.

Learn more →

From there, the project manager typically holds a post-mortem meeting with the team to review what worked and what didn't to avoid repeating the same mistakes. Once the meeting is over, don't throw away documentation; archive it and leverage it in the future.

The project management life cycle is a structured approach for organizations to improve their project management capabilities and their chances of success. It's one of the most important tools to help project managers effectively oversee all phases to achieve better outcomes.

> However, there's more than one way to achieve ideal outcomes; this is why various project management methodologies exist.

Project management methodologies

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A project management methodology is a set of principles, tools and techniques used to plan, execute and manage projects. These methodologies help project managers lead team members and manage work while facilitating collaboration.

Methodologies help ensure timely projects without sacrificing quality. They offer a consistent, structured approach to organizing tasks, allocating resources and achieving the project's short-term and long-term goals.

Reducing risk is another important aspect. With a methodological approach, project managers have the tools to identify and reduce risks before they impact the project. As each team member has clear marching orders, expectations are clear and stakeholders understand what to expect.

Methodologies also include performance metrics and control mechanisms to improve tracking, performance and resource management. Overall, a project management framework has countless benefits and virtually no downsides.

Project management methodologies and the triple constraint

One fundamental concept in project management is the triple constraint of scope, time and cost, or the three key constraints of every project. When one constraint is changed, it will likely impact the others.

- ✓ **Scope:** The work that must be done to deliver the project's objectives
- ✓ **Time:** The schedule for completing the project
- ✓ **Cost:** The budget allocated for the project

Project management methodologies offer the tools needed to manage the triple constraint effectively, yet in different ways.

If you're unsure where to begin, here's an overview of the most commonly used methodologies that project managers, program managers, portfolio managers and PMOs use.

Waterfall methodology

What it is

This is typically the most straightforward and linear approach to managing projects, as well as the most traditional. As the name suggests, the waterfall methodology is a process in which the project phases flow downward. The model requires moving from one phase to the next once the existing one has been completed.

When to use it

The waterfall approach is great for manufacturing and construction projects, which are highly structured. This is also a good methodology for when it's too expensive to pivot or change anything after a plan is made. The waterfall method uses Gantt charts for planning and scheduling.

Agile methodology

What it is

Agile project management is an evolving, collaborative way to self-organize across teams. It's a dynamic way to work and collaborate, making it a popular methodology. When implementing agile, project planning and work management are adaptive, evolutionary in development, seeking early delivery and always open to change if it results in process improvement. It's fast and flexible, unlike waterfall project management.

When to use it

The practice originated in software development and works well in that culture. However, agile has been applied to non-software products that seek to drive forward with innovation and have uncertainty, such as computers, motor vehicles, medical devices, food, clothing and more. It's also used in projects that need a more responsive and fast-paced production schedule, such as marketing.

Scrum methodology

What it is

Scrum is a short "sprint" approach to managing projects. The scrum methodology is ideal for teams of no more than 10 people and often is wedded to two-week cycles with short daily meetings, known as daily scrum meetings. It's led by what is called a scrum master. Scrum works within an agile project management framework, though there have been attempts to scale it to fit larger organizations.

When to use it

Like agile, the scrum methodology has been used predominantly in software development, but it's applicable across any industry or business, including retail logistics, event planning or any project that requires some flexibility. It does require strict scrum roles, however.

Project Management Body of Knowledge (PMBOK)

What it is

The Project Management Institute (PMI) is a not-for-profit membership association, project management certification and standards organization.

This organization produces a book called the "Project Management Body of Knowledge" or PMBOK. The PMBOK provides definitions and guidelines for project planning, scheduling, executing and controlling. For example, the project management process groups describe the life cycle, while the 10 project management knowledge areas explain how to manage a project.

When to use it

Almost any project can benefit from PMBOK, as they all go through the various stages of the life cycle. It's a great way to keep everyone on the same page and clearly define how a project is managed.

The Project Management Institute is the organization that grants various certifications such as the project management professional (PMP) certification, which is the gold standard among project managers and is recognized globally. PMBOK is a great traditional framework.

Critical path method (CPM)

What it is

In the critical path method (CPM), project managers build a model, including all the activities listed in a work breakdown structure, the duration of those tasks and any task dependencies. They mark milestones to indicate larger phases or points in which deliverables are due.

With this information, identify the longest sequence of tasks to finish the project, which is called the critical path. Keep in mind that if one task is delayed, the whole project will be delayed.

When to use it

CPM works better with smaller or mid-sized projects. In larger projects, it can be difficult to take all the needed data and make sense of it on a diagram.

Kanban

What it is

The kanban methodology is a visual approach to project management, and the name means billboard in Japanese. It helps manage workflow by placing tasks on a kanban board where workflow and progress are clear to all team members. This methodology reduces inefficiencies and is a great tool for many purposes such as lean manufacturing or agile projects.

When to use it

Another process developed initially for manufacturing and software teams, the kanban method has since expanded and is used in human resources, marketing, organizational strategy, executive process and accounts receivable and payable. Almost anyone can plan with kanban boards, adding cards to represent project phases, task deadlines, people, ideas and more.

Six Sigma

What it is

Six Sigma works to improve quality by identifying what isn't working in the project. It applies quality management, including empirical statistics and employs experts in these disciplines. There is also a Lean Six Sigma that adds lean methodology to eliminate waste.

As a doctrine, it says that continued efforts to achieve stable and expected results are the most important to success. Processes can be refined and improved. It takes the whole organization, from the top down, to sustain quality in a project, program or portfolio.

When to use it

This methodology works best in larger organizations. Even companies with a few hundred employees are likely too small to take advantage of its benefits. It requires a certification to practice.

The above methodologies are only a handful of examples as over a dozen are recognized. Newcomers to the industry can consider the project specifics, the size and skills of the team, constraints, industry best practices and the company's organizational structure. Remember, a hybrid or a mixture of methodologies can be another effective approach.

> Project management methodologies offer guidance for effective project scheduling, another foundational topic for project managers.

Project scheduling

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A project schedule is a timetable that organizes tasks, resources and due dates in the ideal sequence so a project can be completed on time. It is created during the planning phase and includes the following:

- A project timeline with start dates, end dates and milestones
- The work necessary to complete the project deliverables
- The costs, resources and dependencies associated with each task
- The team members that are responsible for each task

Project scheduling techniques

How can project managers estimate the duration of project tasks accurately? In addition to referencing historical data for similar projects, this is accomplished through scheduling techniques. Below are some common scheduling techniques to consider.

Work breakdown structure (WBS)

The work breakdown structure shows how many tasks and deliverables there are to get to the final deliverable. It's a network diagram with the project goal on top with "branches" underneath that show all the needed steps to get there. The two main types of a WBS include a deliverable-based WBS and a phase-based WBS. This tool ensures nothing is left out of the schedule.

Critical path method (CPM)

The critical path method focuses on the longest sequence of tasks that must be completed to execute a project to create a project schedule. If a task on the critical path is delayed, it will delay project execution as a whole. Once this path is identified, project managers use the critical path algorithm to identify the duration of the critical path.

Program evaluation review technique (PERT)

In this technique, a PERT chart is made of nodes and directional arrows to visualize tasks and dependencies. The arrows are the activities that need to be done before moving on to the next event or milestone. It provides a timeline overview that outlines which tasks are essential to delivering a successful project.

An in-depth guide on how to make a project schedule

Before starting to make a schedule, consider the following as this information will help inform the schedule:

- What needs to be done?
- When will it be done?
- Who will do it?
- Where will it be done?

Follow the below steps to create a project schedule.

01

Create the project scope

The project scope statement is created during the initial planning. This document contains the specific goals, deliverables, features, budget, etc. All tasks needed to complete the project successfully are listed here (which requires an understanding of stakeholder requirements).

Be thorough when putting a task list together and use a work breakdown structure (WBS) to organize these activities and lay them out in order of completion. Understanding task dependencies and their sequence is important for schedule management.

02

Establish the sequence of tasks

Tasks are the small jobs that lead to the final deliverable, and it's important to map out the sequence of those tasks before diving into them. Oftentimes a task will be dependent on another to start or finish. You don't want to get halfway through a task before realizing it can't be completed due to hanging objectives.

03

Group tasks

Once tasks are collected and in the right order, divide them by importance. This helps determine the tasks critical to the project implementation schedule. A priority matrix can also help facilitate this process.

Then, break tasks into milestones that relate to the five project phases. Organize tasks with milestones so it's easier to track progress.

04

Link task dependencies

Some tasks can be done simultaneously, but some tasks are dependent on others to start or finish before they can start or finish. These task dependencies must be mapped out in the schedule to minimize the risk of bottlenecks.

05

Find the critical path

Tasks are the small jobs that lead to the final deliverable, and it's important to map out the sequence of those tasks before diving into them. Oftentimes a task will be dependent on another to start or finish. You don't want to get halfway through a task before realizing it can't be completed due to hanging objectives.

06

Assign resources

Resource management and project scheduling are closely related. Every task on the schedule should have the related resources and costs associated with completing it. Without mapping the resource availability to each task, it's easy to exceed the budget. With resources attached to tasks, it's easier to plan the team's time and balance their workload.

> For more guidance on how to assign resources in a project schedule, explore our chapter on resource management below.

Resource management

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Resource management

Without resources, projects can't come to life. All projects require human and non-human resources such as raw materials, equipment and machinery that must be managed. This is where resource management comes into play; it's the process of estimating what resources will be needed to complete a project, acquiring them, making a schedule for how they'll be allocated and monitoring their utilization during execution.

Project and organizational resources can include time, raw materials, human resources, financial resources, machinery, equipment and more. For example, employees, facilities, electronic devices, data, wood, aluminum and credit may all be project and organizational resources. Usually, the project manager or project management office (PMO) oversees this process, but some organizations have a resource manager who specializes in this area.

There are three main categories of resource management:

- ✓ **Project resource management** is the process of overseeing the use of resources such as labor, materials and equipment to complete tasks
- ✓ **Enterprise resource management** consists of using resources to manage the business' everyday operations
- ✓ **Human resource management** focuses on allocating human resources for both project and enterprise resource management

Resource management plans

How does the process of resource management come to life? A resource management plan. This document describes the different guidelines, operating procedures, tools and methods an organization uses to manage resources. For example, it should itemize resources, indicate their estimated costs and establish a resource schedule for their allocation, among other details.

Resource management techniques

Utilize the following techniques to forecast, plan, allocate, level and optimize resources while executing projects.

Resource forecasting

Project managers must do their best to estimate a project's resources and how those requirements fit the organization's current plans. In other words, what resources will be needed in the future? To achieve this, define the scope to identify tasks and their needed resources.

Example: A software development company launching a new app needs to know the number and type of developers, the needed software tools, testing environments and an overall budget.

Resource capacity planning

The maximum amount of work an organization can accomplish with its current available resources over a period. Resource capacity planning is the process of ensuring resource capacity is sufficient to execute a project.

Example: During the holiday season, a retail store should predict increased customer volume based on past sales and schedule extra staff accordingly.

Resource loading

Resource loading determines the maximum number of work hours employees can be allocated and ensures that 100% of their time is utilized throughout a project.

Example: A construction project manager allocates all concrete finishers on the crew to work on a specific pour of concrete, allocating their full capacity to that task to keep on schedule.

Resource leveling

The process of re-assigning work to a team to solve overallocation or scheduling issues. By thoroughly understanding what each team member offers, resource leveling makes it easy to assign tasks based on the team's abilities to maximize resource efficiency.

Example: If a software team only has two developers and one is assigned to the majority of the tasks, the other will sit idly. The project manager can redistribute some high-priority tasks to the other developer to balance the workload and prevent burnout.

Resource utilization tracking

Resource utilization spots resources that aren't being used efficiently. From there, project managers can reallocate those resources or change the resource management plan.

Example: If an IT help desk has an employee who closes significantly fewer tickets than their colleagues per hour, the other technician may receive more training to improve efficiency.

Resource smoothing

This delays non-critical tasks to complete a project on time with the available resources. Resource smoothing uses the slack or float on each task to delay them without affecting the critical path. As a result, project managers can move resources to complete critical path tasks and circle back to the least important activities.

Example: A marketing team's workload may spike in three weeks due to overlapping campaign tasks. The project manager may shift less critical tasks to week four to spread the workload and prevent burnout.

The resource management process

This ongoing process starts during the planning phase and continues until closure. It's known as the resource management life cycle and includes various stages.

- **Resource analysis:** Gauge the current resource availability to determine what resources are missing. To do so, define the needed resources, look at the inventory and assess the capacity of the resources to find gaps.
- **Resource planning:** This explains the resource requirements and how they'll be met. More importantly, it guides the team on resource management, so it should include general guidelines, a description of project resources, their quantities and when they're needed.
- **Resource scheduling:** Then, ensure those resources are readily available by aligning the resource schedule with the overall schedule. There should also be a supply chain in place, so map out every step, from suppliers to customers.
- **Resource analysis:** Pick the right resources at the right time to achieve tasks. For example, prioritize critical tasks when creating the resource schedule.
- **Resource planning:** Keep track of the team's performance with timesheets, workload charts and other resource management tools.

Tips and best practices for resource management

Identify resource constraints before planning a project

A resource constraint is any condition that limits the availability of resources for the completion of tasks. For example, a piece of equipment might be scheduled for maintenance, or team members may be allocated for multiple projects, limiting their availability.

> **PM Tip**
>
> Download 7 free resource management templates.
>
> **Learn more →**

Assemble a cross-functional team to identify resource requirements

In most cases, these projects will require an organization-wide effort and an extensive use of organizational resources. Assemble a cross-functional team and involve key stakeholders in the resource forecasting stage to get a holistic and accurate view of resource requirements.

Consider the level of effort of the project beyond tasks

The level of effort of a project refers to all the supporting activities needed to complete tasks, such as transporting resources from a warehouse to the job site or training employees.

> Resource management is all about making the most of what you have, including time, money, people or materials. The more effectively a team can manage resources, the better they can manage risks.

Risk management

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Project risks are unexpected changes to the timeline, performance or budget—these can be either positive or negative changes. A pragmatic approach to risk management is best as it helps reduce the impact of a risk should it be negative. Ideally, risk management occurs in the planning process to identify what risks could happen and how to control that risk, if it occurs.

Different projects require different approaches to risk management. For large-scale initiatives, strategies could include extensive planning to mitigate risks if issues arise. Smaller projects, on the other hand, might mean a simpler approach such as a prioritized list of high, medium and low-priority risks.

Several types of project risks exist, including:

- External risks such as the threat of new competitors or economic changes
- Scope creep, which can be caused by not monitoring the critical path or poor task estimates
- Schedule risk if there's a chance of not meeting the planned schedule
- Financial risk if the project incurs costs higher than expected such as a resource management issue
- Performance risk when the work isn't progressing as expected
- Strategic risks such as choosing the wrong methodology
- Legal and regulatory risks such as failing to get the needed permits

PM Tip

Utilize these 9 free risk management templates for Excel to identify, track and mitigate risk.

Learn more →

6 steps in the risk management process

While risk management is elusive, it's all about having a risk management plan.

01

Identify the risk

Risks can't be resolved if they aren't identified. During this step, collect the data in a risk register. Do this by brainstorming with the team, colleagues or stakeholders. Ideally, find those with relevant experience and set up interviews to gather information to identify and resolve risks. The same can be accomplished using historical data on past projects.

All risks should be rooted in the cause of a problem. A risk breakdown structure is also a helpful tool to weed out risks from non-risks.

02

Analyze the risk

Next comes risk assessment. Here, consider the likelihood and impacts of a potential risk occurring. Determine how each risk could impact the scope, schedule, cost or quality.

03

Prioritize risks and issues

Not all risks require an immediate response. Categorize each risk as high, medium or low. If the risk turns into an issue, it's ideal to keep an issue log to monitor it and implement corrective actions, which leads to the next step.

04

Assign a risk owner

Without someone to oversee the risk, the risk management process is useless. Who is responsible for the risk, identifying it when and if it should occur? Will this person also work toward resolving it? Some team members may be more experienced in risk management than others, so assign accordingly.

05

Respond to the risk

Here's where a risk mitigation strategy comes into play if the risk is negative. This is simply a contingency plan that minimizes the impact of a risk. From there, act on the risk(s) based on prioritization, deciding with the risk owner the best path forward.

06

Monitor the risk

The risk owner is responsible for tracking its progress toward resolution. Will it be tracked daily, weekly, bi-weekly, etc.? Document any changes to the risk including its response strategies.

To stay updated and have an accurate picture of the project's overall progress, the project manager should set up a series of meetings to manage the risk. Always be transparent so the team is aware of the risk, helping to mitigate it however possible.

Risk mitigation strategies

We’ve outlined some of the most effective risk mitigation strategies.

- **Risk avoidance:** This strategy avoids any activity that could be risky. This isn’t always possible, of course, and is best when the potential impact of the risk is high and the cost of mitigating it significant.
- **Risk control:** Also called risk reduction, this mitigates potential bad outcomes by enhancing safety and security as an ongoing process instead of a one-off event. It identifies and addresses risks before they become significant.
- **Risk transference:** Here the risk is transferred to another party, such as insurance to cover the cost. This is used when the risk can have a big impact, but it can also add significant cost to the project.
- **Risk acceptance:** This is when one accepts the risk and its possible consequences without taking action. It’s best when the risk is low and the cost of addressing it doesn’t work with the benefits of mitigating the risk.

PM **Tip**

Risk management requires the right tools and techniques.

Learn more →

> Think of risk management as taking control of the project’s future. Proactivity can help identify potential risks, make informed decisions and boost the likelihood of success. By actively engaging stakeholders in the risk management process, project managers can gain valuable insights and build support.

Stakeholder management

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What is a stakeholder?

A stakeholder is an individual, group or organization that is impacted by the outcome of a business venture or project. Project stakeholders, as the name implies, have an interest in the project's success and can be internal or external to the organization sponsoring the project.

Stakeholders can include the project manager, team members, external customers, contractors, subcontractors, investors, suppliers or government agencies. There are two main types of stakeholders; internal and external.

What is stakeholder management?

This process consists of managing the expectations and requirements of all internal and external stakeholders involved. This requires that project managers create a stakeholder management plan, a key document that explains what stakeholder management strategies will be applied.

Project managers also use tools and techniques like a project status report to facilitate stakeholder management throughout the project life cycle.

A stakeholder management plan typically includes the following elements.

- ✓ A list of all project stakeholders along with their basic information
- ✓ A stakeholder map or power interest map
- ✓ A section describing the different stakeholder management strategies to apply in different scenarios (ex: conflict resolution or project status reporting techniques)

How to make a stakeholder management plan in 5 steps

Here are five simple steps to create a stakeholder management plan.

01

Identify stakeholders

Use a stakeholder register to identify project stakeholders and their key information such as their name, role, level of power and interest in the project, preferred communication methods, etc.

02

Prioritize stakeholders

Not all stakeholders have the same impact. Note which have a bigger influence and at which stage their influence becomes lesser or greater. Always monitor key stakeholder relations as they will have the highest impact on the project or business.

03

Interview stakeholders

Working with new stakeholders can be tricky at the start. Knowing stakeholders is key to effective stakeholder relationship management. Because of this, it's ideal to interview project stakeholders, here are some examples of questions to ask them.

- What are your expectations for this project?
- Which deliverables are you most interested in?
- What do you hope this project changes after launch?
- How quickly do you see this project rolling out?
- If you feel positively about this project, why?
- If you have worries about this project, why?

04

Create a power interest grid

A power interest grid or project interest matrix is a chart that determines stakeholders' level of power and interest in the project. It's a helpful tool for stakeholder analysis.

Identify these four stakeholder groups using this tool. They're listed by importance.

- High-power, high-interest stakeholders
- High-power, low-interest stakeholders
- Low-power, high-interest stakeholders
- Low-power, low-interest stakeholders

05

Set and manage expectations

Identify which stages each key stakeholder will be involved in, and timelines by which their feedback is needed. Create a stakeholder engagement or stakeholder communication plan to define how to manage stakeholder relations. As always, be realistic, transparent and honest at every phase.

Stakeholder management revolves around building relationships with stakeholders and understanding their needs. It's a proactive approach to managing their expectations to improve decision-making and achieve stronger operational performance.

> In many cases, stakeholder management is intertwined with project reporting as reports help build transparency, accountability and trust.

Reporting

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Project reporting is one of the key responsibilities of any project manager. It consists of creating different types of reports to track schedules, budgets and progress to keep stakeholders informed.

A project report is a document that provides details on the overall status of the project or specific aspects of progress or performance. All reports use project data based on economic, technical, financial, managerial or production aspects.

Not only do project reports help managers and stakeholders monitor progress, but they can also predict threats, and in so doing, work toward developing a response to avoid them. They help control costs and keep to your budget, monitor team performance and increase visibility into the project for greater insights into managing them.

How to write a project report

- ✓ Define the report's objective by considering the main areas that stakeholders want to monitor
- ✓ Consider the audience of the report; is it for investors, clients, the project management team or someone else?
- ✓ Collect data based on relevant report information such as due dates, labor costs, resource expenses, etc.
- ✓ Format the report based on the audience and the available data

Below are some of the most common project reports crucial to success.

Status report

Status reports describe a project's progress within a specific period against a project plan. While they are usually produced weekly or monthly, some projects benefit from daily reports during the implementation phase. They help managers and stakeholders visualize data through charts and graphs. Use a status report template to streamline the process.

Progress report

Progress reports communicate what has been happening in the project over a set period to stakeholders. It shows work in progress so stakeholders can make any change requests. Compared to the status report, the progress report offers a larger amount of data. Progress reports include project, work, daily, weekly, monthly, quarterly or annual reports. Download a progress report template for Word to get started.

PM Tip

Implement these 12 essential project reports to keep teams and stakeholders informed.

Learn more →

Risk reports

A risk report such as a risk tracking report can show stakeholders a sense of proactivity in how projects are managed. While the risk register should be updated regularly, reporting on risks should be a priority.

Other types of reports to consider include:

- Resource reports
- Variance reports
- Board/executive reports
- Project closure reports

> Now that we understand project management better, let's learn some tips and best practices.

Project management tips and best practices

ProjectManager

These takeaways are useful for newcomers and seasoned professionals alike. Remember, perfecting project management skills is a lifelong process.

Write documents and reports throughout the project management process

Documenting work and generating reports are important throughout the entire life cycle of a project. They are especially important during execution to ensure the actual progress aligns with the plan. Look at reports as communication tools to keep team members updated and stakeholders informed.

Understand how to run a meeting

Whether formal or informal, team meetings are critical components of a project manager's role. Make sure to define the purpose of the meeting and create a focused agenda to not waste time. Meeting minutes are a simple way to capture the essential information in each meeting. Everyone should leave with the needed action items and next steps.

Establish project controls to monitor time, budget and scope

Project controls, key performance indicators (KPIs) and metrics are all measurements that allow project managers to determine if work is being done on time, within budget and meeting quality standards. By establishing these controls, a project manager can make adjustments to keep the project on track.

Be a good leader

Both hard and soft skills make up the foundation of a strong project manager. Brushing up on some of these skills such as leadership can help project managers lead by example and motivate their team to reach their goals.

PM Tip

While having the right skills is key, make sure you have the right certifications to further your career.

Learn more →

Foster clear communication

Open and honest communication is key to success, both with internal and external teams. As a project manager, always keep stakeholders informed and address any concerns as promptly as possible.

Use project management software

Project management software was developed as an all-in-one tool to improve outcomes. It often delivers real-time data, which helps make more informed decisions. Software also has features that make processes more efficient, from Gantt charts to schedule work to dashboards and reports to monitor progress, time and costs. Some tools include robust resource, risk and portfolio management, too.

> Let's explore some of the foundational project management tools below.

Project management tools

PM ProjectManager

A range of project management tools exist, both online and mobile. Below are the most essential tools for a project manager.

Gantt charts

A Gantt chart is a quintessential tool that visually represents the project timeline. It shows all the tasks on one graph, with a data grid on the left and a timeline on the right. Gantt charts are used for planning, scheduling, task management and resource management. They work best on waterfall projects.

Project dashboard

A dashboard is a tracking tool that monitors costs, tasks and progress. It's a useful tool during execution because it helps project managers quickly determine whether their projects are on track.

Resource tracking tools

Resource management is pivotal to project success. Common tools that can help track resources include Gantt charts, timesheets, workload charts, roadmaps, dashboards, reports, calendars and more.

Kanban boards

A kanban board is a task management tool that allows project managers and team members to visualize tasks. Kanban boards are used by agile and scrum teams who work in iterative sprints. They're easy to use and foster team collaboration.

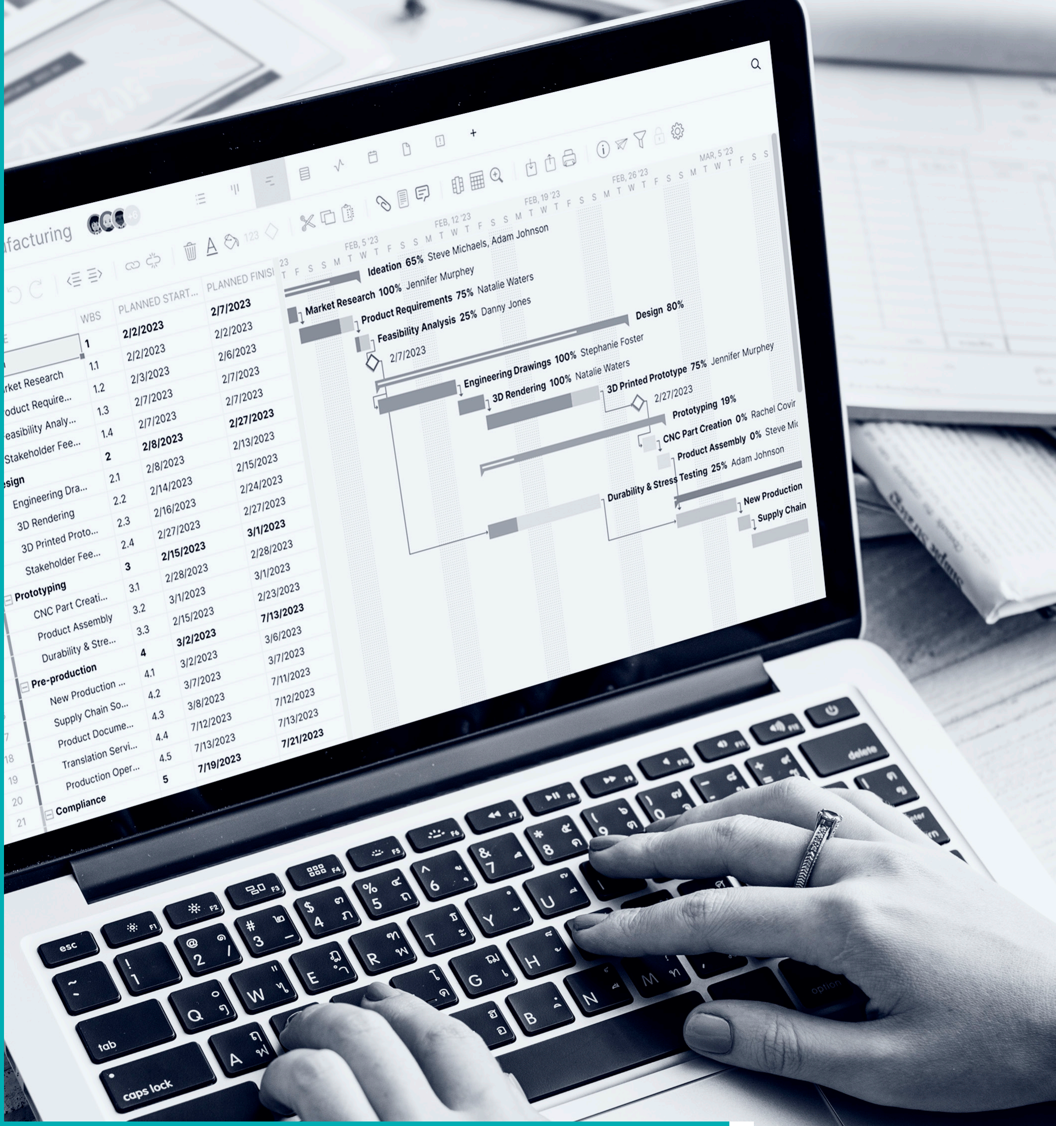
Reports

Reports offer a framework to communicate project status, progress, risks and issues to stakeholders. They help track progress against the baseline plan, highlighting what is on track, behind schedule or over budget. Examples of popular reports include status, progress, issue, financial, resource and lessons learned reports.

Project management software

Online project management software has all the tools project managers need to plan, track and execute initiatives. Built-in features help track progress, identify trends, generate reports and more.

> However, not all project management software is created equal. Let's delve into a best-in-class option that comes at an affordable price.



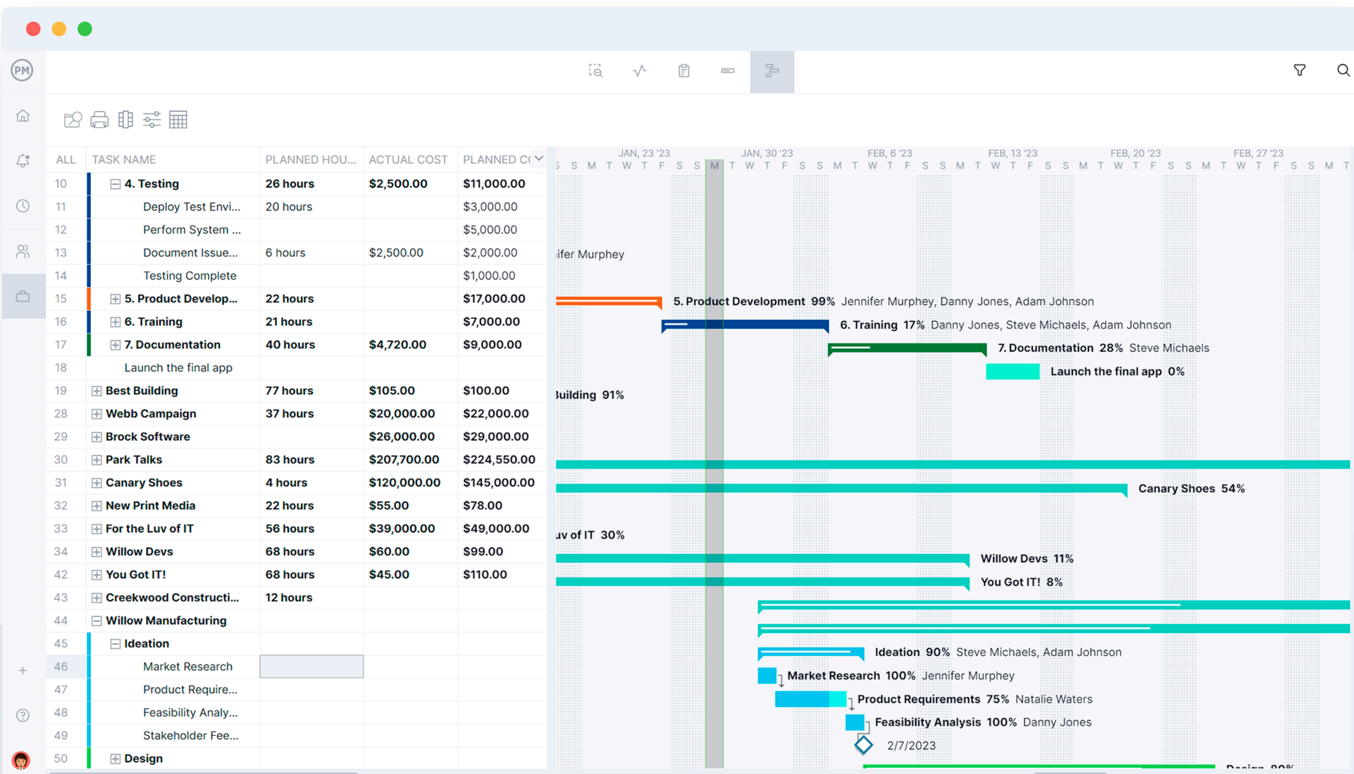
Why choose ProjectManager?

PM ProjectManager

[ProjectManager](https://www.projectmanager.com) is award-winning project management software for business excellence. With over 35,000 highly productive teams across industries using ProjectManager, here's how it can bring agility, accuracy and insights to projects and portfolios.

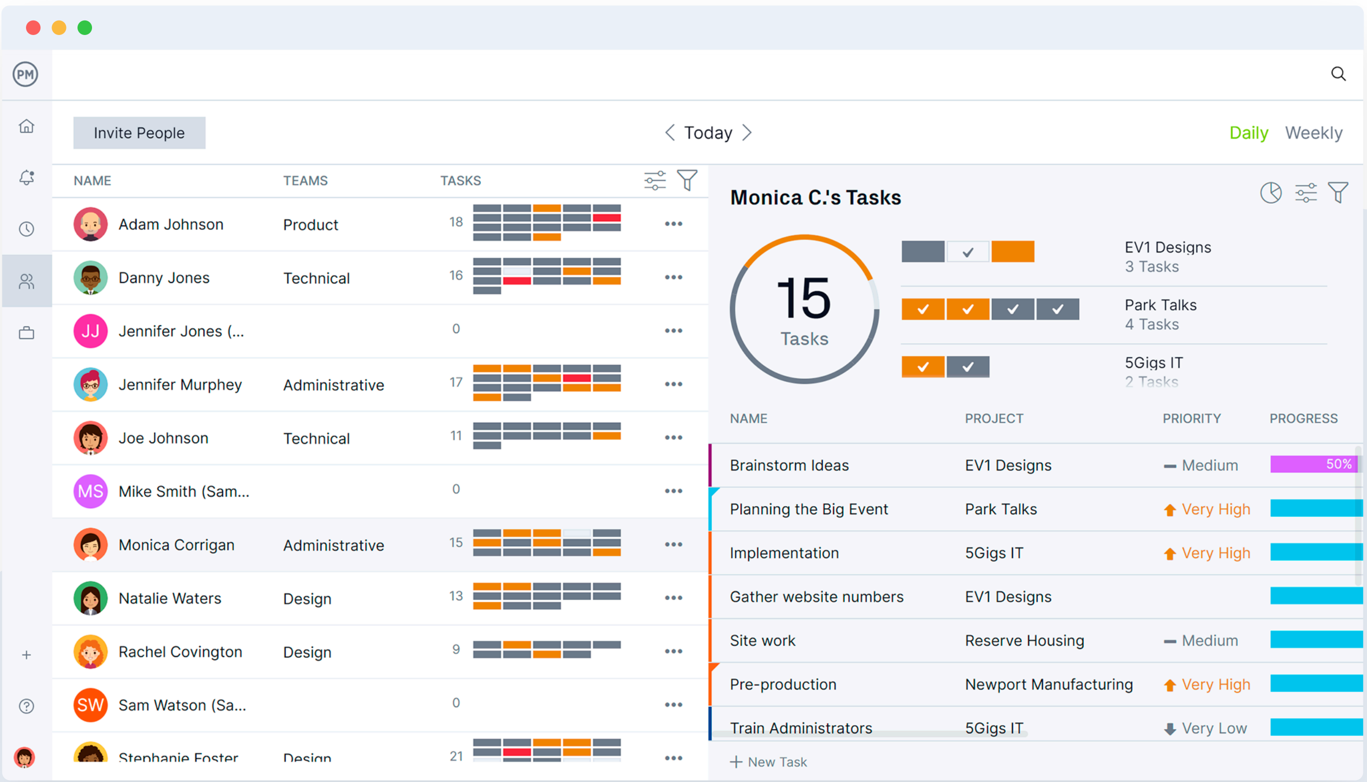
Detailed planning and execution

For projects that require careful planning, forecasting, cost analysis, resource allocation and task management, ProjectManager outperforms the competition. The [Gantt chart](https://www.projectmanager.com), for example, tracks all four types of task dependencies, filters for the critical path, tracks team resource availability and so much more. Simply attach files, add comments or drag and drop timelines; all data updates in real time for secure team collaboration.



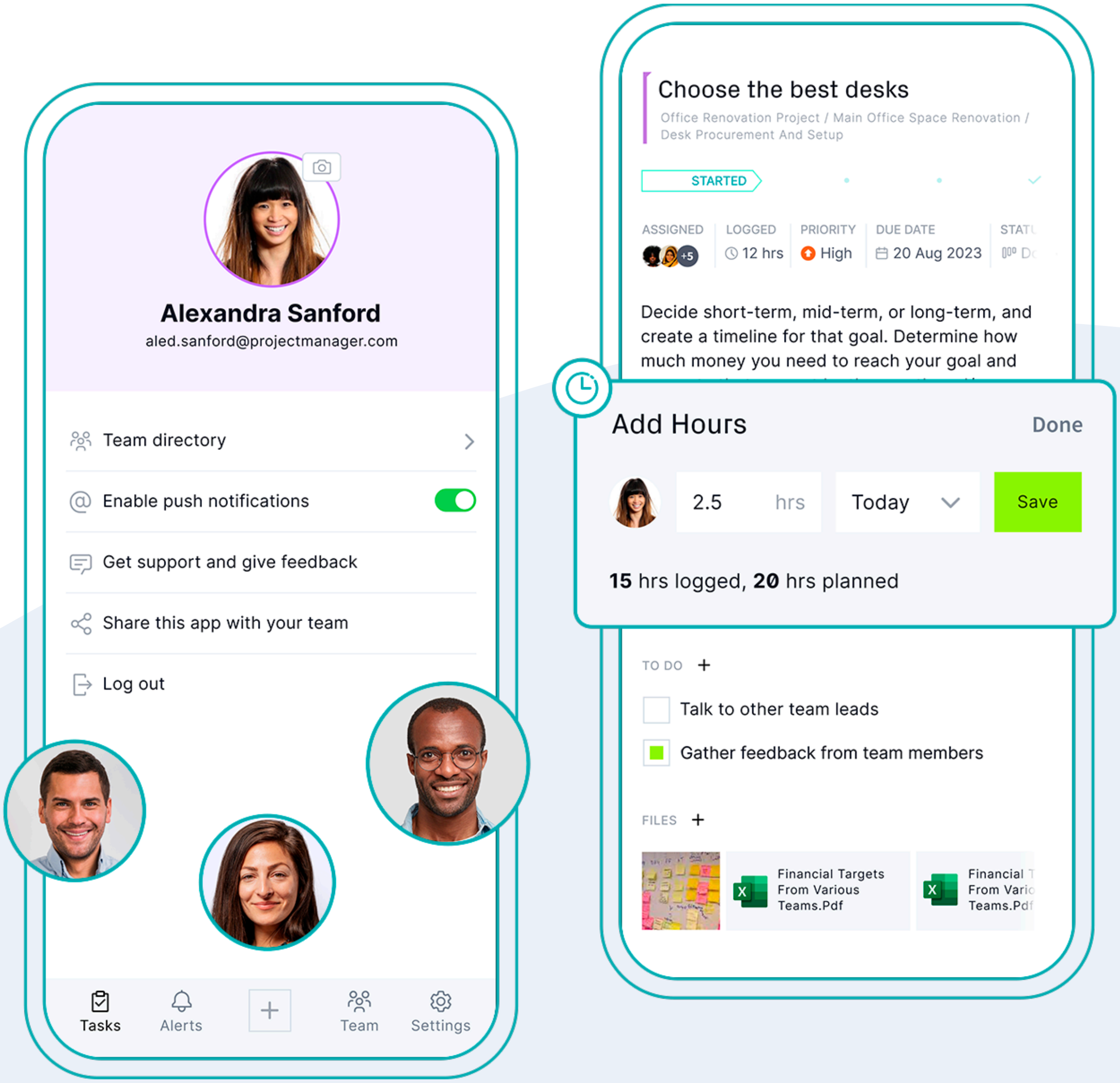
Built-in resource management

Unlike many other options on the market, advanced resource management is already built into ProjectManager's software at no additional cost. Leverage tools such as secure online timesheets, workload charts and team management features to monitor how you allocate human resources, materials and equipment. Use real-time dashboards and reports to share information with stakeholders in seconds.



Stay connected from anywhere

Collaborate on projects whether you're in the office or the field. The ProjectManager mobile app is available on Apple and Android devices and allows teams to manage tasks, log time, track progress and stay in touch with live updates. No matter where you are, it's easy to stay connected to your tasks and teams.



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for yourself?

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Want to talk to our expert
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